

(YOUR RESPONSE IS REQUIRED)
INFORMATION LETTER TO OPTION HOLDERS OF
1X HOLDING AS

25 August 2023
Strictly confidential

INVESTMENT IN 1X HOLDINGS INC AND SALE OF SHARES IN 1X HOLDING AS

As you are aware, 1X Holdings Inc. (**1X Inc.**) has entered into a term sheet with a reputable investor regarding a potential series B investment of (i) USD 75 million by subscribing new series B shares in 1X Inc. and (ii) up to USD 31.8 million by purchasing shares in 1X Holding AS (**1X AS**). In addition, it is contemplated to raise additional funds through an investment in 1X Inc. and sale of shares in 1X AS towards existing and new investors in connection with the series B investment (jointly, the **Transaction**). The Transaction will be based on a pre-money valuation of 1X Inc. of USD 375 million, however so that the sale of shares in 1X AS will be offered at a discount of 15%. This means that the subscription price per series B share in 1X Inc. will be approximately USD 72 - 75, while the purchase price per share in 1X AS will be approximately USD 417 – 420 (minor deviations to the final amounts may occur).

If the board of directors and the majority shareholders elect to proceed and complete negotiations with the investors, 1X wants to (i) invite you as option holder in 1X AS to exercise up to 30% of your vested options against issuance of shares in 1X AS and such shares in 1X AS on terms as set out in this letter, and (ii) obtain the necessary power and authority to negotiate the transaction terms on behalf of all option holders and shareholders in order to ensure an efficient transaction process.

Therefore, in order to facilitate an effective process with the purpose of achieving the best possible terms for the shareholders of 1X AS in a potential transaction, we kindly ask that you, in your capacity as a share option holder in 1X AS, complete and sign the consent and power attorney attached hereto as Appendix 1, authorizing each of Bernt Øivind Børnich (CEO), Stein Erik Maurice (COO) and Trygve Nilssen (Advokatfirmaet Schjødt AS), to act as your attorney in relation to a potential transaction involving a sale of shares in 1X AS on the terms set out in the power of attorney. The completed power of attorney should be delivered to Linda Walen Arnesen or sent by email to linda@1x.tech by 28 August 2023. Please ensure that all information requested in the power of attorney is filled in as correctly and completely as possible.

We note that the Transaction is subject to, inter alia, (i) final agreements between 1X Inc. and the investors and (ii) board approval in 1X Inc. This letter shall thus not be construed to involve an obligation for 1X Inc., 1X AS, its directors or others, to complete the Transaction.

If you have any questions or comments to the above, please contact Linda Walen Arnesen (linda@1x.tech). For legal matters you can also contact Advokatfirmaet Schjødt AS. Our contact at Advokatfirmaet Schjødt AS is Trygve Nilssen (trygve.nilssen@schjodt.com / +47 901 16 678).

Your sincerely,
1X Technologies
Stein Erik Maurice
COO

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Appendix 1 – Consent & Power of Attorney

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To be completed, signed and returned.

CONSENT & POWER OF ATTORNEY

The undersigned (the **Option Holder**) hereby irrevocably confirms that he/she/it either (cross the preferred choice)

- ☒ wishes to exercise 30% of my vested share options in 1X Holding AS (**1X AS**) and sell such shares;
- ☐ wishes to exercise ____% (max 30%) of my vested share options in 1X AS and sell such shares; or
- ☐ do not wish to exercise share options in 1X AS.

The Option Holder acknowledges that the confirmation is binding for the Option Holder. If no alternative is crossed, the reply will be treated as a confirmation that the Option Holder does not wish to exercise any share options in 1X AS.

The Option Holder is aware of and accepts that allocation of shares to be sold in 1X AS in connection with the Transaction will be decided by the board of directors of 1X AS at their sole discretion on the basis of the board of directors' assessment of 1X AS' interest and the shareholders' pro rata share, including a part of vested options, however so that if the Option Holder is not able to sell such portion of its shares as requested above, the exercise of options will be reduced correspondingly. The Option Holder is aware of and accepts that the requested shares to be sold and power of attorney does not entitle the Option Holder the right to get allocated the requested number of shares to be sold in 1X AS and that offerings exceeding demand is expected.

The strike price in connection with the issue of shares under the share options will be settled by 1X Technologies AS on behalf of the option holder in the form of a loan (the **Loan**) which shall be repaid to 1X Technologies AS from the proceeds from the sale of shares in connection with the Transaction (as further described below).

Further, the Option Holder hereby irrevocably appoints and constitutes each of Bernt Øivind Børnich (CEO), Stein Erik Maurice (COO) and Trygve Nilssen (Advokatfirmaet Schjødt AS) (each an **Attorney**), separately and individually to be the Option Holder's attorney with full power and authority in the Option Holder's name and on its behalf:

- to exercise such amount of share options as requested above subject to final allocation of share to be sold and take any other action required in connection with the exercise of options pursuant to the share option agreement;
- to negotiate, agree and execute a share purchase agreement (the **SPA**) for the sale and purchase of shares in 1X AS in connection with the Transaction, provided that the terms of the SPA are in all materiality equal for all sellers, including the Option Holder;
- to act as its agent for the purpose of (a) giving and receiving all notices, instructions and other communications required or permitted to be given under the SPA or any other agreement entered into in connection with the Transaction, (b) receiving service of any claim form, application notice, order, judgment or other process issued in connection with any arbitral proceedings initiated pursuant to the SPA and (c) acting on the Option Holder's behalf in relation

to all matters which the SPA expressly provides to be agreed or done by the Attorney as the "Sellers' Representative" pursuant to the SPA;

- to adhere to the shareholders' agreement regarding joint ownership of shares in 1X AS entered into in connection with the Transaction and/or the sale of shares in 1X AS on behalf of the Option Holder as a shareholder;
- before making any payments to the Options Holder, (i) arrange for 1X Technologies AS to make tax deductions in connection with the exercise of the share options and deduct such tax obligations from the payment, (ii) repay the Loan to 1X Technologies AS on behalf of the Option Holder from the proceeds of the sale of shares, and (iii) incur and arrange for payment of any transaction costs in relation to the negotiation and completion of the SPA and the Investment and deduct such costs (or provisions for such costs) from any payments to be made to the Option Holder;
- to the extent required by the investors in connection with the Transaction, to attend, represent us, waive statutory notice period requirements and vote on our behalf in an upcoming extraordinary general meeting to be held in 1X AS in favour of such resolutions that the board has proposed to the general meeting; and
- to negotiate, agree and execute any other document and to do any and all acts or things as may, in its absolute discretion, be appropriate or necessary in connection with the execution of the SPA and the completion of the Transaction, including, without limitation, waiving any rights pursuant to the existing shareholders' agreement for 1X AS, including the rights pursuant to clauses 4.3 (Right of first refusal), 4.4 (Tag-along rights) and 5.2 (Pre-emptive rights and right of first refusal).

The undersigned hereby ratifies and confirms and agrees to ratify and confirm all that any Attorney shall do or cause to be done by virtue of this power of attorney. The undersigned hereby agrees to that Halodi shall indemnify and hold harmless each Attorney from and against any liability, loss, cost or expense suffered or incurred by such Attorney as a result of any action taken by such Attorney under this power of attorney.

This power of attorney shall lapse automatically on 31 December 2023, however so that the Attorney shall be authorized to act as the Option Holder's representative under the SPA if the SPA has been executed and the Transaction completed by such date.

This power of attorney shall be irrevocable and governed by Norwegian law, without giving effect to any choice or conflict of law provisions (whether of Norway or any other jurisdiction).

* * *

[signature page to follow]

[signature page]

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Name: Egil Utheim

Place and date: Hokksund 27.08.2023